

FutureProof Financial

Regional Regulatory Readiness

What it takes to launch the Equity Preservation Mortgage in
Australia, New Zealand, the United Kingdom and the United States

BOARD BRIEFING — INTERNAL

The Equity Preservation Mortgage (EPM) is a **mortgage, not a loan the customer repays**. The customer receives a guaranteed income and makes no repayments; the lender and its funders carry the investment risk. Because that structure is genuinely new, the first regulatory question in every market is the same — “*what is this product?*” — and the answer carries a **light path and a heavy path**. Which one applies is the single biggest driver of cost and time. **None of this challenges the model**. It is executional: a classification ruling, the right licence, locally-correct disclosure and contracts, before we can sign a customer.

Three things decide how fast we can open each market:

- **Classification — the master variable.** Is the investment / income component a regulated *financial product* (AU: AFSL; NZ: FAP or managed-investment scheme; UK: COBS / managed investment; US: an SEC “security”)? Or can it sit in the simpler mortgage / credit lane? Light vs heavy path — best settled up front by a legal opinion, regulator ruling, no-action letter or sandbox. See §2.
- **Licensing.** A single national licence in Australia, the UK and New Zealand; **state-by-state** in the United States.
- **Distribution.** The UK requires **advised-only sales** through qualified advisers (no online-only) — which directly constrains an AI-led acquisition model. The other three are more flexible.

1. Readiness at a glance

The regulatory path is defined in all four markets, and nothing is a blocker to the product. The one variable that moves timelines by quarters is the classification fork (§2).

Market	Regulator(s)	Likely classification & licence	Hardest single requirement	Setup weight
New Zealand	FMA, Commerce Commission, RBNZ	Consumer credit (CCCFA) — FSP registration + dispute scheme; no bespoke lending licence	Investment-component classification (FAP / managed scheme)	Low–Med
Australia	ASIC, APRA, AUSTRAC, AFCA	Credit contract (National Credit Code) — ACL ; AFSL likely for the investment / advice	ACL-vs-AFSL fork; comparison-rate problem	Med–High*
United Kingdom	FCA, PRA, NCA, ICO	Lifetime mortgage / equity release (MCOB 12) — FCA authorisation + investment permission	Advised-only sales by CeRER-qualified advisers	High
United States	CFPB, SEC, FinCEN, 50 states	Proprietary (non-FHA) reverse mortgage — state-by-state NMLS licences	50-state licensing + SEC "security" (Howey) risk	Highest

* Australia is rated Med–High because its timeline depends entirely on the classification fork: the credit / ACL path is weeks-to-months, but if the investment advice is treated as *personal* advice the AFSL path is ~6–12 months (see §2 and §3).

Indicative entry order: New Zealand, then Australia, then the UK, then the US — subject to two honest caveats. (1) Australia's "speed" holds only if it stays in the credit / general-advice lane; the personal-advice AFSL path is UK-scale. (2) The UK's advised-only rule may be incompatible with a self-service / AI-led acquisition model — treat UK as a strategic decision, not just a sequencing one. Weigh all of this against where the commercial opportunity is strongest.

2. The master variable — one product, two paths

The EPM bundles a mortgage with a managed investment that funds the customer's income. Every regulator will ask whether that investment / income element makes it a **regulated financial product** (heavy path) or whether it can be run as a **mortgage / credit product** (light path). The same question recurs in all four markets, under different names:

Market	Light path (mortgage / credit)	Heavy path (financial product / security)	What tips it heavy
AU	ACL only; general -advice warnings; fund-manager PDS provided	AFSL — and if <i>personal</i> advice: Statement of Advice, Best Interests Duty, qualified advisers (~6–12 mo)	Giving the customer personalised income projections ("you'll get \$3,200/mo")
NZ	FSP registration + CCCFA compliance	FAP licence (FMA) and/or managed-investment scheme (FMC Act Pt 4)	Advising on the investment, or pooling customer funds
UK	Lifetime mortgage under MCOB 12	Additional investment (COBS) permission ; possible managed-investment treatment + FCA waiver	Managing / advising on the portfolio component
US	Proprietary reverse mortgage (loan advances)	An SEC " security " under the Howey test — registration / no-action burden	Income tied to investment returns; any pooling; portfolio language to customers

Implication. Settle this question first in each market — by legal opinion plus regulator engagement (ASIC ruling, FMA guidance, FCA sandbox, SEC no-action). It is the difference between a weeks-to-months launch and a 6–12-month one, and it is resolved by a ruling, not by building. The standard mitigation is the same everywhere: structure income as arising from the **mortgage**, keep the customer out of any pooled or discretionary investment, and give **general** rather than personal advice.

3. What each market requires

New Zealand

Regulators: FMA, Commerce Commission, RBNZ; DIA (AML); Privacy Commissioner.

Classification & licence. Consumer credit under the CCCFA, with **no bespoke lending licence** — the lightest licensing of the four. The pathway is registration as a Financial Service Provider plus membership of an approved dispute-resolution scheme. A **Financial Advice Provider (FAP) licence is likely** if we advise on the investment, and a managed-investment-scheme classification is possible if the portfolio is pooled — the \$2 fork.

What binds us:

- CCCFA responsible lending — verify the customer can meet property costs (~NZ\$6k–23k p.a.) from existing plus EPM income; full pre-contractual and continuing disclosure (s17–33).
- Mandatory dispute-resolution scheme (FSCL / FDRS / IFSO); 40-working-day internal-complaints target; scheme decisions binding up to NZ\$350k.
- **Maori freehold land must be excluded at launch** (Te Ture Whenua Maori Act 1993 — Land Court approval required); credit reporting under the Credit Reporting Privacy Code.
- AML/CFT Act 2009 (supervisor DIA, or FMA/RBNZ by entity type) — see the AML comparison in §4.

Open item: who bears **FIF tax** on the portfolio (customer vs lender) is unresolved and materially affects net income to the customer — settle in product design.

Market-specific (a real tailwind): NZ Super is not income-tested — EPM income does not reduce NZ Super. This removes a whole class of suitability friction that exists in Australia.

Australia

Regulators: ASIC (conduct), APRA (prudential), AUSTRAC (AML), AFCA (disputes).

Classification & licence. An **ACL** is almost certain (credit). The question that sizes the whole AU effort is **AFSL**: managing the portfolio and giving income projections likely triggers it. **General-advice-only** is the lighter route (warnings, fund-manager PDS, no personal recommendations); **personal advice** is much heavier — Statement of Advice, Best Interests Duty and qualified advisers, a ~6–12-month build. Settle via legal opinion plus ASIC guidance before launch.

What binds us:

- Responsible lending adapted to a no-repayment product (assets, objectives, age, and capacity for rates / insurance / maintenance — not repayment affordability); 80% LVR, independent valuation, annual revaluation.
- Pre-contractual disclosure (Credit Guide, Key Facts Sheet); 14-day cooling-off; hardship process and **AFCA** membership.
- **Comparison-rate problem** — the mandatory comparison rate assumes repayments the EPM does not have; needs ASIC guidance or an alternative-disclosure exemption.
- **Credit reporting** — the EPM appears on the customer's credit file and can affect future borrowing; must be disclosed. AUSTRAC AML obligations (§4).

Market-specific: EPM income is assessable under the **Age Pension** income test, and the portfolio may be deemed / assets-tested — taking an EPM can reduce pension entitlements, and this must be disclosed. (Contrast New Zealand.)

United Kingdom

Regulators: FCA (conduct), PRA (prudential); NCA (AML reports); ICO (data); FOS (disputes).

Classification & licence. Closest fit is a lifetime mortgage / equity release under MCOB 12, requiring FCA Part 4A authorisation with mortgage permissions and, likely, an **investment (COBS) permission**; a managed-investment treatment is possible and may need an FCA product waiver — engage the FCA Innovation Hub / sandbox early. Compliance Officer (CF10/11), MLRO (SMF17) and DPO must be in place before launch.

What binds us:

- **Advised-only sales (MCOB 12.3) — no execution-only or online-only.** Every customer must be advised by someone holding the equity-release qualification (CeRER), and Equity Release Council membership is effectively essential for broker distribution.
- No Negative Equity Guarantee (the EPM already exceeds it); personalised illustration (MCOB 12.4); Consumer Duty; financial promotions rules (MCOB 3A); FOS complaints (award limit £415,000); SCA / PSD2.
- Money Laundering Regulations 2017 — SARs to the NCA, MLRO (SMF17); UK GDPR data residency (§4).

Strategic flags. (1) Advised-only distribution structurally **blocks a self-service / AI-led funnel** in the UK — we would have to recruit and contract qualified advisers. (2) **IHT is not a safe headline:** the UK analysis's own worked example shows Inheritance Tax can be *higher* with an EPM in some cases. The dependable UK benefit is **tax-free lifetime income and the right to remain**; any IHT effect must be modelled per customer with an IHT specialist, never marketed as a blanket reduction.

United States

Regulators: CFPB (federal conduct), SEC (securities), FinCEN / OFAC (AML), HUD / FHA (reverse-mortgage), plus 50 state regulators.

Classification & licence. Structure as a **proprietary (non-FHA) reverse mortgage** to avoid HECM rules; it remains subject to TILA / RESPA and state law. Licensing is **state-by-state via NMLS** (entity + per-originator), each with net-worth, surety-bond, FBI-check and education requirements, renewed annually — about **3–6 months per state** (parallelisable). The **SEC / Howey "security" question is the highest risk and biggest schedule driver**: structure so the customer receives **loan advances, not investment returns** (no portfolio / returns language in customer materials) and obtain an SEC no-action letter or opinion (3–12 months) before launch.

What binds us:

- TILA / Reg Z reverse-mortgage disclosures (TALC, right of rescission); RESPA; independent appraisal (FIRREA / USPAP); HMDA reporting at scale; UDAAP scrutiny (elderly demographic = high risk).
- State reverse-mortgage overrides — e.g. California 7-day rescission, New York age 60 + HUD counseling, Texas constitutional 80% cap + 12-day wait.
- Bank Secrecy Act AML — FinCEN (SARs, CTRs), OFAC SDN screening (strict liability, up to \$20M+ per violation) (§4).

Market-specific: do not launch nationally. Phase 1 = **California, New York, Florida, Arizona** (~40% of the target market; Arizona simplest); defer Texas (constitutional restrictions). Highest cost and longest lead time of the four.

4. Requirements that span all markets

AML / CFT

All four markets require a board-approved AML programme, risk-based customer due diligence (with PEP and sanctions screening), ongoing monitoring and a designated compliance officer. The regime differs only in plumbing — build once to a common standard and localise the reporting channel:

Market	Regime	Supervisor	Report channel & key threshold report	Retain
AU	AML/CTF Act 2006	AUSTRAC	AUSTRAC — SMR; Threshold Transaction Report for cash at/above A\$10,000	7 yrs
NZ	AML/CFT Act 2009	DIA (or FMA/RBNZ)	FIU (NZ Police) via goAML — SAR; Prescribed Transaction Report cash >NZ\$10k / wire >NZ\$1k	5 yrs
UK	Money Laundering Regs 2017	FCA (MLRO, SMF17)	NCA via SAR Online — Suspicious Activity Report (no fixed cash threshold)	5 yrs
US	Bank Secrecy Act	FinCEN / Treasury	FinCEN BSA E-Filing — SAR; Currency Transaction Report cash >\$10k; OFAC SDN screening	5 yrs

Data residency & security

The UK is the only market requiring data residency (UK GDPR — process within the UK/EEA; EU hosting acceptable if documented). Australia and New Zealand impose no localisation requirement; the US is state-led, with California (CCPA/CPRA) strictest. Build once to the highest common bar: AES-256 at rest, TLS 1.3 in transit, 7-year audit-trail retention, processor data-processing agreements, payments through a PCI-compliant provider. SOC 2 / ISO 27001 are expected for UK and US operations and for investor due diligence. **Note:** the AU assessment flags encryption-at-rest as a current **critical gap** to close before any launch.

Breach notification

Market	Notify the regulator within	Regulator (max penalty noted)
Australia	As soon as practicable (assess within 30 days)	OAIC (up to A\$50M / 30% turnover)
New Zealand	As soon as practicable	Privacy Commissioner
United Kingdom	72 hours	ICO
United States	State-dependent (CA / MA ~30 days)	State Attorney-General

Build the breach process to the UK 72-hour standard and it satisfies every market.

Tax treatment

Income, capital-gains and inheritance treatment differ materially by market — local-counsel territory, never presented to customers as tax advice. The points that matter to the board: **UK** — tax-free lifetime income is the dependable benefit; the IHT effect is case-specific (can go either way) and must be modelled per customer. **AU** — EPM income is assessable for the Age Pension. **NZ** — NZ Super is not income-tested (an advantage), but the FIF-tax question on the portfolio is open. **US** — structured as loan advances, the income is not taxable and no Form 1098 issues.

Estate & inheritance

The EPM is **not called due on death**. The home is not force-sold; the estate inherits the investment upside, and the mortgage stands as a liability against the estate. The required documentation (will reference, beneficiary options, post-death portfolio management) is straightforward.

Insurance

Buildings insurance and upkeep remain the customer's responsibility (a disclosure / serviceability point). Because the customer makes no repayments, traditional mortgage-protection and income-protection insurance are **not relevant** — the failure mode they cover does not arise. Lender-side investment and tail risk is managed through the reinsurance structure, covered separately.

5. Indicative lead-times & costs

Only the Australian and US analyses carry costed estimates; the UK and NZ figures are not yet scoped and need local counsel. These are planning estimates, not quotes.

Market	Indicative timeline	Indicative cost	Basis
NZ	FSP registration ~weeks; the gating item is the investment-classification opinion, not the registration	Not scoped	Local counsel
AU	Legal opinion 2–4 wks; ACL ~45 business days; AML setup 4–6 wks — total 8–16 weeks. Add 6–12 months if the AFSL personal-advice path applies.	~\$40k–\$90k total (legal opinion \$5–15k, ACL \$5–10k, AML \$15–30k, security audit \$10–25k, AFCA \$350/yr). AFSL personal-advice path: +\$20–50k.	Internal AU assessment
UK	FCA authorisation is a multi-month process; standing up advised distribution (CeRER advisers, ERC) is the larger dependency	Not scoped	Local counsel
US	Per-state licensing 3–6 months (parallelisable); SEC no-action 3–12 months — the binding schedule item	Net worth \$25k–\$1M+ per state; surety bond \$10k–\$500k per state; full \$ setup not scoped	Internal US analysis

These figures are planning estimates drawn from the internal compliance analysis (AU and US) or are indicative pending local counsel (UK and NZ). They are not legal advice; every classification call requires qualified local counsel in-market.

6. What is done, and what is left

Done (internal). Detailed compliance analysis exists for all four markets, plus a separate Australian regulatory assessment, a security framework and tax / estate treatment. The legislation behind it is listed in Appendix A.

Left — the gate to the first customer in any chosen market:

- **Settle the §2 classification fork** with external counsel and regulator engagement (ASIC ruling, FMA guidance, FCA sandbox, SEC no-action).
- **Obtain the licence / authorisation** — FSP (NZ), ACL [+ AFSL] (AU), FCA authorisation (UK), NMLS state licences (US).
- **Stand up AML, data-security and breach baselines** once, to the highest bar.
- **Localise contracts, disclosures and illustrations** to the market's rules.

7. Recommendation

- **Settle classification first** in each market — it resolves the light-vs-heavy fork and is the one thing that moves timelines by quarters.
- **Sequence NZ -> AU -> UK -> US**, but hold two caveats in view: Australia is only "fast" in the credit / general-advice lane (personal-advice AFSL is UK-scale), and the UK's advised-only rule may not fit a self-service / AI-led model — decide whether the UK warrants a separate adviser-based build or a later entry.
- **Build the AML, security and breach baseline once**, to the UK/GDPR / 72-hour bar; it then satisfies every market.

- **Decide the first market now** so counsel and licensing can start in parallel. That — not the financial model — is the critical path to the first customer.

Appendix A — Legislation reviewed

The instruments below were reviewed in the underlying per-market compliance analysis. This is a record of scope, not a legal opinion; enacted years are given for reference.

Australia

Instrument	Regulator / body	Governs
National Consumer Credit Protection Act 2009 (incl. National Credit Code)	ASIC	Credit licensing (ACL), responsible lending, disclosure, hardship
Corporations Act 2001	ASIC	Financial product / AFSL, financial advice, managed investment schemes
Australian Securities and Investments Commission Act 2001	ASIC	Consumer protection in financial services
Competition and Consumer Act 2010 (Australian Consumer Law, Sch 2)	ACCC / ASIC	Misleading conduct, unfair contract terms, consumer guarantees
Anti-Money Laundering and Counter-Terrorism Financing Act 2006	AUSTRAC	AML programme, KYC, SMR / TTR reporting
Privacy Act 1988 (Australian Privacy Principles; NDB scheme)	OAIC	Privacy, credit reporting, data-breach notification
APRA prudential standards (e.g. APS 220 valuation)	APRA	LVR / valuation expectations for ADIs
State duties & land-titles legislation	State revenue / titles offices	Mortgage duty (SA), mortgage registration / discharge

New Zealand

Instrument	Regulator / body	Governs
Credit Contracts and Consumer Finance Act 2003 (incl. 2021 amendments)	Commerce Commission	Responsible lending, disclosure, cooling-off, hardship
Financial Markets Conduct Act 2013	FMA	Financial advice (FAP), managed investment schemes
Financial Service Providers (Registration and Dispute Resolution) Act 2008	Companies Office / FMA	FSP registration, mandatory dispute scheme
Property Law Act 2007	Courts	Mortgage / security interest in land
Te Ture Whenua Maori Act 1993	Maori Land Court	Restrictions on mortgaging Maori freehold land
Anti-Money Laundering and Countering Financing of Terrorism Act 2009	DIA / FMA / RBNZ	AML programme, CDD, SAR / PTR via goAML
Privacy Act 2020 (incl. Credit Reporting Privacy Code 2004)	Privacy Commissioner	Privacy, credit reporting, breach notification

United Kingdom

Instrument	Regulator / body	Governs
Financial Services and Markets Act 2000 (Part 4A authorisation)	FCA / PRA	Authorisation to carry on regulated activity
FCA Handbook — MCOB (esp. ch. 12), COBS, CONC, PROD, DISP	FCA	Mortgage / equity-release conduct, investments, product governance, complaints
Consumer Duty (2023)	FCA	Good outcomes, fair value, consumer understanding & support
Consumer Credit Act 1974	FCA	Consumer-credit framework (context)
Money Laundering, Terrorist Financing and Transfer of Funds Regulations 2017	FCA / NCA	AML programme, CDD / EDD, SARs to the NCA
UK GDPR & Data Protection Act 2018	ICO	Data protection, residency, breach notification (72h)
Payment Services Regulations / PSD2; eIDAS	FCA	Strong Customer Authentication; e-signatures

United States

Instrument	Regulator / body	Governs
Truth in Lending Act / Reg Z (incl. §1026.33 reverse-mortgage)	CFPB	APR / cost disclosure, rescission, appraisal independence
Real Estate Settlement Procedures Act / Reg X; TRID	CFPB	Settlement disclosure, Loan Estimate / Closing Disclosure
SAFE Act (2008)	NMLS / state & federal regulators	Mortgage lender & originator licensing
Dodd-Frank Act (2010) — incl. §1031 UDAP, §1472 appraisal	CFPB	Unfair/abusive practices; appraisal independence
Securities Act of 1933; Investment Advisers Act of 1940; Howey test	SEC	"Security" classification of the investment component
FIRREA (1989) / USPAP; ECOA (Reg B); HMDA (Reg C)	Federal banking agencies / CFPB	Appraisal standards; equal credit; mortgage data reporting
Bank Secrecy Act; OFAC sanctions	FinCEN / OFAC (Treasury)	AML — SAR / CTR; SDN sanctions screening
HECM regulations (FHA); state reverse-mortgage & privacy statutes	HUD/FHA; state regulators	Reverse-mortgage rules; state overrides (CA, NY, FL, TX) & CCPA/CPRA

Prepared for the board from the internal regional compliance analysis (REGIONAL_COMPLIANCE_AUDIT.md, the four per-market compliance files, and REGULATORY_ASSESSMENT_AU.md). Built 2026-06-03.